These three factors are adapted from the US Supreme Court's jurisprudence on indirect expropriation, notably the decision in *Penn Central Transportation Co. v. New York City' (1978)* (Sanders 2010). The US government's decision to define 'indirect expropriation' based on the way that concept is understood in US law followed a Congressional direction to the US Executive in 2002 that US investment treaties should not provide protection to foreign investment beyond that found in US law (Gagné and Morin 2006). The annex on indirect expropriation has been included in all subsequent US investment treaties. It has also diffused into the treaty practice of other states. Similar text clarifying the meaning of indirect expropriation is now found in investment treaties as diverse as the ASEAN Comprehensive Investment Agreement (ACIA), the Comprehensive Economic and Trade Agreement (CETA) between Canada and the EU, the China–Japan–Korea trilateral investment treaty, and the TPP.[25]

FAIR AND EQUITABLE TREATMENT

We turn now to the most important substantive protection in the investment treaty regime, FET. Consider the following sample clause:

'Each Contracting State shall in its territory in every case accord investments by investors of the other Contracting State fair and equitable treatment'.[26]

As with most FET clauses, this short and open-ended formulation provides broad interpretive discretion to investment tribunals. Whereas the outcome in early investment treaty arbitrations often turned on the application of indirect expropriation, the interpretation and application of FET provisions has been decisive in most disputes since 2000. (This is an important point for empirical scholarship on investment treaty arbitration, some of which still focuses primarily on indirect expropriation; e.g. Pelc 2016). Investors have invoked the FET standard to challenge the entire gamut of state conduct, including changes to legislation of general application, decisions of executive agencies of the host state specifically addressed to the investor in question, and the actions of the host state's judiciary.

One important point of contrast between FET and the concept of indirect expropriation is that host states may breach FET even if the impact of state conduct on the foreign investor falls short of a 'substantial deprivation' of an investment necessary for expropriation. Moreover, in contrast to NT and MFN, a host state's action may breach FET even if it is non-discriminatory. Investment tribunals 'regularly apply [FET] in a broad manner, using it as a yardstick for the conduct of the national legislator, of domestic administrations, and of domestic courts' (Schill 2009, 79). For this

[25] Annex 2, ASEAN Comprehensive Investment Agreement 2009; Annex 8-A, CETA 2016; protocol to the China–Japan–Korea trilateral investment treaty 2012; Annex 9-B, TPP 2016.
[26] Article 2(2), German Model BIT 2009.

reason, the FET standard has begun to eclipse the operation of other substantive protections.

The meaning of FET is the subject of disagreement between arbitral tribunals, states, and academics. In practice, arbitral tribunals have played a major role in elaborating the meaning of FET through the interpretation and application of FET in individual disputes (on the 'law-making' functions of tribunals, see Chapter 9). Tribunals have considered a range of factors in determining whether host states have breached FET, including: (i) the extent to which state conduct interferes with or alters a foreign investor's legal rights under domestic law; (ii) the extent to which state conduct breaches promises made to foreign investors; (iii) the extent to which state conduct is consistent with standards of procedural fairness and due process; (iv) the extent to which state conduct pursues a legitimate policy objective; and (v) the likely effectiveness of the state conduct in achieving its intended policy objective.

Given these interlocking factors, the exposition of the FET standard in legal texts is almost always organized around a discussion of the different 'elements' of FET—that is, more specific legal principles that apply to particular categories of cases. However, no two academic commentators propose the same taxonomy of 'elements' (cf. Newcombe and Paradell 2009, 275; Dolzer and Schreuer 2012, 145; Vandevelde 2012, 190; Paparinskis 2013, 239; Salacuse 2013, 388; Bonnitcha 2014a, 161). In this section, we organize discussion of the FET standard under the following three headings: (i) denial of justice and due process, (ii) arbitrary or unreasonable conduct, and (iii) legitimate expectations.

Denial of justice and due process

This first dimension of the FET standard refers to requirements of procedural fairness in administrative and judicial proceedings. It includes procedural requirements such as investors' rights to make submissions to decision-making processes affecting their interests, to unbiased and impartial decision-making, and to knowing the basis and reasons for state decisions so that investors can challenge them (Schill 2010, 158). Arbitral consideration of whether a state has breached this element of the FET standard looks to the *process*, as opposed to the outcome, of proceedings affecting the foreign investor.

Take the example of *Loewen v. United States* (2003), described in Chapter 3. Here, Loewen argued that its treatment in the Mississippi court system amounted to a breach of FET by the United States. For unrelated reasons, the arbitral tribunal found that it lacked jurisdiction over this claim. However, it explained that, if it had had jurisdiction over the dispute, it would have found that the serious procedural irregularities in Mississippi state court's conduct amounted to a denial of justice in breach of the FET provision of the investment treaty (para. 137; see also Paulsson 2005, 186).